Title: Owner Of Long Island Bus Company Sentenced to Prison for Multi Million-Dollar Bank Fraud
Date: 2026-07-15
Office: USAO - New York, Eastern
Source:
https://www.justice.gov/usao-edny/pr/owner-long-island-bus-company-sentenced-prison-multi-million-dollar-bank-fraud

Earlier today, in federal court in Central Islip, John B. Mensch, the owner and chief executive officer of a bus conglomerate based in Medford, Long Island, was sentenced by United States District Judge Nusrat J. Choudhury to 18 months in prison for bank fraud conspiracy. Judge Choudhury also ordered Mensch to pay restitution in the amount of $9,326,366.03. Mensch pleaded guilty to the charge in October 2024.

Joseph Nocella, Jr., United States Attorney for the Eastern District of New York, James C. Barnacle, Jr., Assistant Director in Charge, Federal Bureau of Investigation, New York Field Office (FBI), and Matt McCool, Special Agent in Charge, United States Secret Service, New York Field Office (USSS), announced the sentence.

“John Mensch kept a failing business afloat by manipulating the banking system and exploiting the trust that financial institutions place in their customers,” stated United States Attorney Nocella. “By cycling worthless checks through multiple bank accounts, the defendant obtained millions of dollars in funds that did not exist, creating the illusion of financial stability while concealing the company’s insolvency. Today’s sentence should serve to warn fraudsters like the defendant that the loss of freedom and restitution to victims is the price of their crimes. This Office will continue to hold accountable those who abuse the financial system through sophisticated fraud schemes.”

“John Mensch’s feedback loop of fraud stole more than nine million dollars and manipulated financial institutions to keep his bankrupt business afloat. The FBI continues to hold accountable fraudsters who abuse our economic system for personal enrichment,” stated FBI Assistant Director in Charge Barnacle.

“This was not a victimless crime. It was a sophisticated scheme involving millions of dollars in fraudulent checks to benefit the defendant, while threatening the integrity of the banking system and harming his creditors, customers and employees,” stated USSS Special Agent in Charge McCool. “This sentencing should serve as a warning to other criminal fraudsters: We will catch you and you will be held accountable. Thanks to our partners in the New York law enforcement community and the Eastern District of New York for your collaboration in bringing justice in this case.”

Mensch was the owner and operator of East End, a transportation company that provided busing services for students on Long Island and elsewhere. Between 2017 and September 2018, East End maintained numerous accounts—and was granted expedited check-clearing privileges—at banks located in Suffolk County, New York, and Orange County, New York. Those privileges allowed East End to obtain near-immediate access to the deposited funds before the underlying checks had cleared. Mensch and other East End executives abused those privileges by engaging in an elaborate “check-kiting” scheme, passing fraudulent checks between East End’s various accounts to keep East End operational despite being effectively insolvent.

Specifically, Mensch and other East End executives drew checks on East End’s bank accounts at Financial Institution #1, despite those accounts containing insufficient funds to cover the checks. Those bad checks were then deposited into East End’s bank accounts at Financial Institution #2, which, unaware that the checks would eventually bounce, allowed East End immediate access to the funds. East End withdrew those funds to meet various financial obligations and then, before the checks bounced, conducted the same process in the reverse, drawing bad checks on its Financial Institution #2 accounts and depositing them into its Financial Institution #1 accounts to create the false impression that funds were available to cover the earlier checks. This circular flow of worthless checks continued, with the banks advancing East End non-existent funds for several months until the scheme was detected in September 2018. By that time, East End had obtained nearly $10 million dollars from Financial Institution #1 and Financial Institution #2, all of which it had spent while continuing to operate at a deficit.

The government’s case is being handled by the Criminal Section of the Office’s Long Island Division. Assistant United States Attorney Adam R. Toporovsky is in charge of the prosecution, with help from Paralegal Specialist Janelle Robinson.

The Defendant:

JOHN B. MENSCH

Age: 55

Quogue, New York

E.D.N.Y. Docket No. 24-CR-334 (NJC)